

Lecture 13 (2026-07-19)

Quick Summary

The session covers the distinction between transactional and transformational leadership models, the fundamental requirements of trust and empathy in leadership dynamics, and the different "points of view" (Follower, Bureaucrat, Administrator, Contrarian, and Leader) that individuals adopt in an organizational context. It also introduces specific leadership roles (Chief Meaning, Broomer, and just "Good Luck" - no, "Fun Officers") and the "Generous Gene" required for effective leadership. Additionally, it covers the elements of organizational structure, including work specialization, departmentalization, chain of command, and span of control, comparing traditional line structures with modern pyramid and matrix models. The latest segments explore the trade-offs of centralization vs. decentralization, the impact of formalization on job discretion, the differences between mechanistic and organic organizational models, and the characteristics of simple, matrix, virtual, team, and circular structures. It also details how organizational structure is inextricably linked to business strategy (Innovation, Cost Minimization, and Imitation). **The session further highlights how choosing a functional structure—where decision-making is driven by domain expertise rather than general management—is critical for success in markets characterized by high technological disruption.**

Key Definitions

Transactional Leadership: A model of leadership focused on rewards, active or passive management, and reacting to deviations from the established norm. **Transformational Leadership:** A model of leadership focused on inspiring followers, stimulating them intellectually, and providing empathetic consideration. **Ideal Leadership Mix:** The consensus that an effective leader requires a balance of both transactional and transformational ideologies. **Follower's Point of View:** A mindset characterized by questions regarding task clarity ("What do you want me to do?"), a request for authority ("Will you give me more authority?"), and requests for the removal of obstacles. **Bureaucrat's Point of View:** A mindset characterized by avoiding action through statements of lack of ownership ("Not my job"), lack of authority ("Pass it on"), or lack of approval ("Not approved"). **Administrator's Point of View:** A mindset focused on past precedent and strict adherence to rules ("What did they do last time?", "Rule books"). **Contrarian Point of View:** A negative viewpoint that dismisses innovation by claiming ideas won't work or cannot be funded. **Leadership Point of View:** A mindset focused on identifying "underlying forces" and "willingness to initiate action" to improve the situation. **Trust and Empathy:** Critical components where empathy must be mutual (bidirectional) to overcome organizational blockages and ensure a "smooth" process. **Chief Meaning Officer:** A leader's role in articulating not just the destination, but the "why" and the specific benefits (e.g., pay, flexibility) to motivate people through change. **Chief Broomer:** A leader's role in "brooming" away bureaucracy, silos, and "box-checking" obstacles to allow team members to take action. **Chief Fun Officer:** A leader's role in ensuring work is enjoyable and finding ways to turn "small victories" into "big victories" to build momentum. **Generous Gene:** A prerequisite for leadership; the ability to genuinely celebrate others' success and be "turned on" by giving rewards (raises, bonuses) without personal feelings of jealousy. **Work Specialization:** The degree to which activities are subdivided into separate jobs. It leads to standardized tasks and higher efficiency but can lead to limited skills, fatigue, and higher absenteeism. **Departmentalization:** The basis on which common tasks are grouped. Common categories include: * **Functions:** Based on the specific work performed (e.g., surgery, pediatrics). * **Products/Services:** Based on what the organization produces (e.g., a brand of soap). * **Geography:** Based on territory (e.g., Europe, Asia). * **Processes:** Based on the different stages/processes the organization undergoes. * **End Customers:** Based on specific types of clients. **Chain of Command:** The unbroken line of authority extending from the top of the organization to the lowest level, clarifying who reports to whom. **Unity of Command:** The principle that an employee should have a clear, primary reporting structure. **Span of Control:** The number of individuals a manager can

efficiently and effectively manage directly. **Line Structure:** A traditional, rigid hierarchy of command. **Pyramid Structure:** A modern structure that allows for more cross-communication and recognizes the collective contribution of lower-level employees. **Matrix Organization:** A complex structure where employees may report to multiple managers (e.g., a Functional Manager for skills/career growth and a Project Manager for daily tasks). **Centralization:** The degree to which decision making is concentrated at a single point in the organization. **Decentralization:** The degree to which decision-making authority is delegated to lower levels of the organization. **Formalization:** The degree to which jobs within the organization are standardized; higher formalization results in lower employee discretion and less input on how work is performed. **Mechanistic Model:** A traditional organizational structure characterized by high specialization, rigid departmentalization, clear chain of command, narrow spans of control, centralization, and high formalization. **Organic Model:** A modern, flexible organizational structure characterized by cross-functional/cross-hierarchical teams, free flow of information, wide spans of control, decentralization, and low formalization. **Simple Structure:** A basic organizational design typically used in small businesses where the owner and manager are the same person; characterized by being simple, fast, and flexible, but difficult to scale. **Bureaucracy:** A structure characterized by standardization, highly routine operating tasks, and very high formalization. Decision-making follows the chain of command with a single centralized authority and very narrow spans of control. **Virtual Structure:** A model focused on "renting" rather than "owning" resources. Major business functions (ads, sales, R&D) are outsourced to third-party firms. This allows for a team to be assembled for a finite time and disbanded when the project ends, reducing overhead and risk. **Team Structure:** A modern structure where departments are replaced by "empowered teams." This structure is designed to eliminate horizontal boundaries between customers and suppliers. **Circular Structure:** A structure where the CEO is at the center, and vision is shared outward in concentric rings (Managers $\rightarrow$ Specialists $\rightarrow$ Workers).

Worked Examples

Leadership Point of View Comparison (Table):

Point of View	Key Characteristics / Phrases
Follower	"What do you want me to do?", "Will you give me more authority?", "I need you to clear the obstacles for me," "I don't have the bandwidth/authority."
Bureaucrat	"That's not my job," "I'll pass it on," "Our procedures don't allow that," "Not approved by management," "How can you expect us to do it?"
Administrator	"What did they do last time?", "Look to the rule books," "See if the rule book permits it."
Contrarian	"That will never work," "That's a terrible idea," "You won't be able to fund it."
Leader	"Do you understand the underlying forces?", "Are you willing to initiate action to make things better?"

Economies and Diseconomies of Work Specialization (Graph): * **X-Axis:** Work Specialization (Low to High) * **Y-Axis:** Productivity (Low to High) * **The Curve:** A bell-shaped curve. * **Ascending Phase:** Labeled "Impact from economies of specialization" (Productivity increases as tasks become standardized). * **Descending Phase:** Labeled "Impact from human diseconomies" (Productivity drops due to factors like fatigue, absenteeism, and boredom).

Span of Control Comparison:

| Span Type | Number of Employees | Advantages | Disadvantages | | :--- | :--- | :--- | | **Narrow (e.g., 4)** | Smaller number per manager | More time for subordinates; stronger leadership support; better for high-complexity/critical tasks. | More expensive; more levels; higher management costs. |

Centralization and Decentralization (Table):

| Concept | Definition | Advantages of Decentralization | | :--- | :--- | _ | Act more quickly to solve problems. |
| **Decentralization** | Distribution of decision-making to lower levels. | 2. More people provide input into decisions. | | | 3. Employees less likely to feel alienated from decisions. |

Formalization (Table):

| Level | Characteristics | Impact on Employee | | :--- | :--- | _ | Minimal amount of discretion; less input on how the job is done. | | **Low Formalization** | Job behaviors are non-programmed. | Great deal of freedom to exercise discretion; allows for more input. |

Mechanistic vs. Organic Organizational Models (Comparison Table):

| Feature | Mechanistic Model | Organic Model | | :--- | :--- | _ | | **Structure Type** | Traditional, rigid | Modern, adaptive | | **Teams** | Rigidly departmentalized | Cross-functional, Cross-hierarchical | | **Information Flow** | Formal chain of command | Free flow of information | | **Span of Control** | Narrow | Wide | | **Authority** | Centralized | Decentralized | | **Formalization** | High | Low | | **Typical Setting** | Government, traditional manufacturing | Startups, tech (e.g., Google, Meta, Apple) |

Simple Structure Overview:

Aspect	Description
Context	Small businesses; owner and manager are the same person.
Strengths	Simple, fast, flexible, inexpensive to maintain; clear accountability.
Weaknesses	Not scalable; risk of "single point of failure" (all depends on one person).

Matrix Structure Example (University Model): * **Scenario:** A university has different programs (Undergrad, Masters, Research) and different departments (Accounting, Finance, Marketing). * **Structure:** A student/employee has two bosses: a **Functional Manager** (e.g., Head of Marketing) and a **Program Manager** (e.g., Head of Undergraduate Programs). * **The Trade-off:** * **Risk:** Creates confusion, role conflicts, and power struggles because there is no "unity of command." * **Benefit:** Provides "Expert Touch." The Program Manager may not know everything about the technical details of every department, but the Functional Manager provides the specialized expertise required for complex, interdependent tasks. * **Management Strategy:** To minimize ambiguity, managers must prepare specific questions and answers to address the potential for role conflict.

Virtual & Franchise Models (Reality Check): * **Virtual Strategy:** "Why own everything when you can rent?" Outsourcing items like ads, sales, or R&D allows for a lean structure. * **Franchise Example:** (e.g., McDonald's, Dunkin' Donuts). A central "formula" (brand, packaging, systems) is provided, but operations are localized. * **Risks:** These models can lead to "perpetual flux," "hazy roles," and "increased political behavior" due to the lack of a single, cohesive structure.

Team Structure (Slide Content): * Departments are replaced by "empowered teams." * Eliminates horizontal boundaries between customers and suppliers. * Key features: Cross-hierarchical teams, participative decision-making, 360-degree performance appraisals.

Circular Structure (Slide Content): * **Structure:** Executives at the center \$\\rightarrow\$ Managers \$\\rightarrow\$ Specialists \$\\rightarrow\$ Workers. * **Pros:** Suited for small innovative firms and CSR-focused organizations. * **Cons:** Employees can become unclear on who is "running the show" or whom to report to (Ambiguity).

Strategy-Structure Alignment Matrix:

| Business Strategy | Target Goal | Recommended Structure | Key Characteristics | Example | | :--- | :--- | :--- |
| | **Innovation** | Creating new products/markets | **Organic** | Low specialization, low formalization, decentralized. | Apple, 3M | | **Cost Minimization** | Efficiency/Cost Control | **Mechanistic** | High specialization, high formalization, centralized. | Walmart | | **Imitation** | Copying proven models | **Hybrid** | Mix of both; tight control on current activities, looser control for new variations to avoid legal/copyright issues. | Fashion Manufacturers |

Apple Case Study (Functional Structure & Expertise): * **Structural Shift (1997):** Steve Jobs replaced a "Conventional" structure (multiple business units with their own P&L and general managers) with a "Functional" structure (one P&L, split into functional departments). * **Rationale - Expertise over Management:** * **Expert-Driven Decision Rights:** In markets with high technological change and risk of disruption, decision-making must be owned by experts in specific domains (e.g., engineering, marketing, retail) rather than general managers. * **The Logic of "Expertise":** General managers are unlikely to possess the judgment or intuition needed to predict which specific technologies or designs will succeed in a fast-moving landscape. * **The "Cost/Price" vs. "User Value" Trap:** * In a traditional structure, cost and price are often the "fixed" parameters. This can stifle innovation because it prevents the implementation of advanced features that are expensive but highly valuable to the user. * **Case in Point (iPhone 7 Plus):** To introduce the dual-lens camera in 2016, the team had to take a risk on a costly feature. Under a traditional structure, a general manager would likely have ruled against it due to cost constraints. Under the functional structure, the expert leader (Paul Hubel) was empowered to prioritize the user experience over cost-based metrics. * **Key Takeaway:** Structure is a driver of success. A functional structure ensures that those with the deepest expertise in a domain have the decision rights for that domain, which is essential for fostering innovation.

Formulas & Rules

None yet.

Tricky Logic & Traps

Follower Trust vs. Physical Support: A physical gesture (e.g., a hand on the shoulder) provides reassurance but does not solve the issue of a lack of trust. If a follower does not trust the leader's ability or past track record, they will remain hesitant regardless of the physical proximity or support.

Bureaucrat vs. Administrator Distinction: These are two distinct types of non-leadership mindsets. A **Bureaucrat** avoids action by citing a lack of personal ownership or higher-level permission; an **Administrator** avoids action by citing a lack of precedent or the constraints of the rule book.

Bidirectional Empathy: Empathy must be a two-way street. If leaders do not empathize with the followers' difficulties (or vice versa), the process faces "blockages." Both sides must understand the specific constraints/limits of the other to work effectively.

Identifying the "Why" of a Contrarian Stance: When a leader/peer adopts a Contrarian view (claiming something is "impossible"), they are often acting on one of three internal barriers: 1. **Lack of perceived benefit:** They don't see "what's in it for them" (pay, flexibility). 2. **Hidden History:** They may have "burned their fingers" on a similar idea in the past (budget loss, failed project). 3. **Risk Aversion/Novelty:** The manager may be a "Novice" or "Narcissistic," fearing the loss of control.

Strategy to Overcome a Contrarian View: To move a Contrarian, use one of these specific tactics depending on the underlying cause: 1. **"What's in it for you?":** Directly address their specific personal/professional benefits. 2. **Impact Analysis:** Show the concrete results and what happens if the idea is implemented. 3. **"Ask Why":** Force the conversation to uncover the history/previous failures that created their "no" stance. 4. **"Borrow Time":** Propose a feasibility study or a pilot program to show "interim results" before attempting a full-scale rollout.

Skip-Level Management Impact: If an immediate manager is demotivating due to a lack of generosity or a Contrarian stance, it may be necessary to utilize "Skip-Level" reporting. While a non-generous manager is a risk to team morale, organizational systems (HR/Operations) should be able to identify these issues through "the grapevine," performance drops, or client complaints.

The "Peak" of Work Specialization: Productivity does not increase indefinitely with specialization. There is a peak; past this

point, "human diseconomies" (fatigue, boredom, higher absenteeism) cause a decline in productivity.

Span of Control Trade-off: A wide span (e.g., 8) is preferred for organizational efficiency and cost-effectiveness because it requires fewer levels of management. A narrow span (e.g., 4) is more expensive and results in more levels but allows the manager to provide more direct support and leadership to their subordinates.

Managing Multiple Managers (Matrix): In complex structures where an employee has multiple managers (e.g., a functional manager and a project manager), the organization manages this via **360-degree feedback**. The direct manager is responsible for collecting feedback from all other relevant managers to evaluate the employee's performance.

Chain of Command Evolution: While traditional "Line" structures are rigid, "Pyramid" structures are increasingly preferred because they facilitate cross-communication and help recognize the skills and contributions of a wider range of employees.

Span of Control & Industry Context: The "ideal" number of reports depends on the industry. Manufacturing often requires a larger number of direct reports due to scale; software/service industries often require fewer (closer to 1-on-1 support) because the technical/functional roles are more complex and require higher-level support.

The "Rule of 8" for Management: Beyond 7-8 direct reports, it becomes difficult for a manager to provide adequate support; the manager's role shifts from being a "techno-functional" manager to a "people manager."

The Decentralization Balance: While decentralization speeds up action and increases employee inclusion, too much decentralization can lead to **ambiguity and chaos**. The goal is to find the "sweet spot" that allows for local nuances/innovation while maintaining a clear path for decision-making.

The "Ego" Risk in Organic Structures: Organic models require cross-hierarchical communication (e.g., a VP taking input from a junior staffer). This can be difficult to implement in practice due to potential ego clashes or cultural resistance from those in higher positions.

Formalization vs. Structure: It is a common mistake to confuse Formalization with structure. **Formalization** specifically refers to the degree of **standardization** and the rules governing the process, whereas structure refers to the hierarchy of reporting.

The Matrix Trade-off: While the "dual chain of command" in a matrix structure causes confusion and potential power struggles, it provides the "expert touch." A project manager may not have the specific expertise of a functional manager, and vice versa; the structure allows these two different types of expertise to coexist.

The Risk of Franchising/Virtual Models: Because these models (like franchising) lack a single, unified structure, they can lead to "political behavior" and "hazy" roles. This is a specific risk when trying to scale using a non-traditional structure.

Strategy-Structure Link: A company's choice of structure is not just a preference but a reflection of its strategy. **Innovation** requires an Organic structure (less rules, more freedom). **Cost Minimization** requires a Mechanistic structure (more rules, more specialization). **Imitation** requires a hybrid approach (strict rules for current products, but some flexibility/innovation to avoid legal issues when adapting copied products).

Expertise vs. General Management in Innovation: In markets with high technological change or disruption, a **Functional Structure** is superior because it places decision rights with those who possess **domain expertise**. General managers are often unable to predict which specific technologies or designs will succeed in these contexts.

The "Cost/Price" Selection Trap: A common mistake in traditional structures is using cost and price as the only filters for innovation. This can lead to the exclusion of valuable features (like the iPhone 7 dual-lens camera) because the decision-makers lack the "expert touch" needed to weigh the high cost against the high value of the user experience.

Exam Pointers

None yet.

Sources

MBA ZG11 Lecture 11.pptx MPO Session 9-13 2026.pdf